SOUTH KOREA TECHNOLOGY: HARDWARE - ELECTRONIC COMPONENTS

Lower LGI 3Q26 OP due to unfavorable F/X rates and weak optics solution; Remain Neutral

Giuni Lee
+65-6889-1025 | giuni.lee@gs.com
Goldman Sachs (Singapore) Pte

Daiki Takayama
+81(3)4587-9870 |
daiki.takayama@gs.com
Goldman Sachs Japan Co., Ltd.

We lower 3Q26 OP estimates for LG Innotek (LGI) to W71bn (from W247bn) to mainly reflect strong KRW vs. USD and our lower optics solution estimates for the quarter. Although we recognize potential ASP upside from camera module specs upgrade of its major customer's latest smartphone series, we revised down our optics solution estimates given the bifurcated model launches and the customers' margin headwinds due to rising memory cost potentially leading to lower-than-expected shipment. Lower TP to W750,000 (from W860,000), and remain Neutral rated on the name.

- **Optics Solution**: We lower 3Q26 Optics OP estimate to W29bn from (W171bn) to reflect lower shipment and ASP of camera modules, as well as unfavorable F/X rates during the quarter. Although we recognize potential ASP upside from camera module specs upgrade of its major customer's latest smartphone series, we revised down our optics solution estimates given the bifurcated model launches and the customers' margin headwinds due to rising memory cost potentially leading to lower-than-expected shipment. We also believe customers may exert pricing pressure to counter elevated memory prices, prompting us to lower our ASP estimates. Despite the company's efforts to overcome these unfavorable conditions by leveraging its high mix of premium products, we believe it will be difficult to fully compensate for the downside risks, hence we lower our OP estimates by 24%/6%/12% for 2026/2027/2028 to W646bn/W767bn/W838bn from W854bn/W814bn/W948bn.

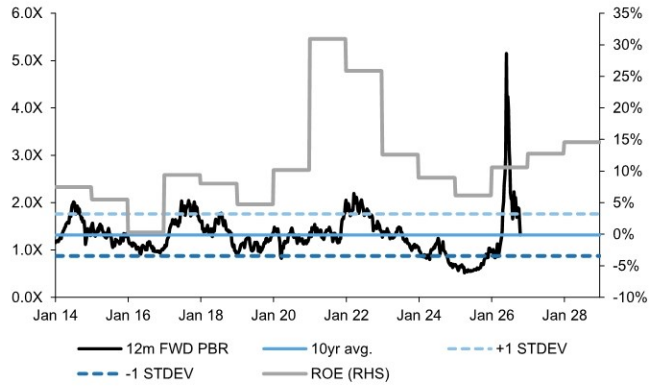
- **Package Solution**: We lower our 3Q26 package OP estimate by 45% to W37bn from W66bn, reflecting near-term headwinds from unfavorable F/X movements. Notably, we lower our BT substrate revenue for 2026/2027/2028 by 2%/2%/13%, as we do not expect mass production of its new facilities to commence until 2028. Although we acknowledge the continued growth of its package business driven by mix improvement toward higher value add applications, we believe capacity constraint would be the one of the main bottlenecks in increasing revenue for the following years, given that current production is running at close to full capacity. Hence, we lower our Package solution OP by 10%/1%/3% for 2026/2027/2028.

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Lower LGI earnings estimates and TP to W750K (from W860K); remain Neutral-rated
We lower our 2026E/2027E/2028E EPS estimates by 22%/3%/8% mainly reflecting the strong KRW vs. USD and lower optics solution estimates for the period. We also refresh our target multiples (8.1x to 8.3x for Optics Solution, 5.8x to 4.5x for Mobility Solution, and 16.0x to 12.5x for Package solution) to reflect changes in peer valuation and accordingly, we lower our 12m TP to W750,000 (from W860,000), and remain Neutral-rated on the stock. Key risks include higher-/lower-than-expected camera module market share of LGI in Apple.

We also revise our LG Electronics (LGE) estimates reflecting changes in our LGI and LG Display (LGD) numbers. As we lower our expectations for LGI and LGD moving forward, we expect LGE's 2026/2027/2028 EPS to decrease by 4%/3%/4% from W13,338/W18,275/W21,938 to W12,762/W17,726/W21,040. Our TP remains the same at W165,000 and we maintain Neutral rated on the name.

Exhibit 1: LGI shares are currently trading at 1.3x 12m FWD P/B with 2026E/2027E ROE of 11%/13%
LGI 12m FWD P/B vs. ROE



Source: Bloomberg, Company data, Goldman Sachs Global Investment Research

Exhibit 2: LGI currently trades at 11.3x 12m FWD P/E
LGI 12m FWD P/E



Source: Bloomberg, Company data, Goldman Sachs Global Investment Research

Exhibit 3: LGI earnings revisions

	Revised				Previous				%-change			
(W bn)	3Q26E	FY26E	FY27E	FY28E	3Q26E	FY26E	FY27E	FY28E	3Q26E	FY26E	FY27E	FY28E
Sales	**5,868**	**23,191**	**24,474**	**27,053**	**6,355**	**24,516**	**25,146**	**28,179**	***-7.7%***	***-5.4%***	***-2.7%***	***-4.0%***
Optics Solution	**4,879**	**19,177**	**19,923**	**21,642**	**5,337**	**20,466**	**20,550**	**22,506**	***-8.6%***	***-6.3%***	***-3.1%***	***-3.8%***
Mobility Solution	**500**	**2,044**	**2,269**	**2,467**	**509**	**2,053**	**2,293**	**2,541**	***-1.8%***	***-0.4%***	***-1.0%***	***-2.9%***
Package Solution	**489**	**1,970**	**2,283**	**2,944**	**509**	**1,997**	**2,303**	**3,132**	***-3.9%***	***-1.3%***	***-0.9%***	***-6.0%***
Substrates	331	1,354	1,648	2,304	351	1,381	1,668	2,492	*-5.7%*	*-1.9%*	*-1.2%*	*-7.6%*
Display Solution	158	616	635	640	158	616	635	640	*0.0%*	*0.0%*	*0.0%*	*0.0%*
Operating profit	**71**	**916**	**1,227**	**1,592**	**247**	**1,163**	**1,285**	**1,733**	***-71.3%***	***-21.2%***	***-4.5%***	***-8.1%***
Optics Solution	**29**	**646**	**767**	**838**	**171**	**854**	**814**	**948**	***-82.9%***	***-24.3%***	***-5.7%***	***-11.6%***
Mobility Solution	**5**	**53**	**90**	**106**	**10**	**66**	**97**	**116**	***-50.9%***	***-19.9%***	***-6.9%***	***-8.3%***
Package Solution	**37**	**217**	**370**	**648**	**66**	**243**	**374**	**669**	***-44.7%***	***-10.4%***	***-1.3%***	***-3.1%***
Substrates	35	178	299	576	53	198	304	597	*-34.5%*	*-10.0%*	*-1.6%*	*-3.4%*
Display Solution	2	39	71	72	13	45	71	72	*-87.5%*	*-12.4%*	*0.0%*	*0.0%*
OP Margin (%)	***1.2%***	***4.0%***	***5.0%***	***5.9%***	***3.9%***	***4.7%***	***5.1%***	***6.1%***				
Optics Solution	***0.6%***	***3.4%***	***3.9%***	***3.9%***	***3.2%***	***4.2%***	***4.0%***	***4.2%***				
Mobility Solution	***1.0%***	***2.6%***	***4.0%***	***4.3%***	***2.0%***	***3.2%***	***4.2%***	***4.5%***				
Package Solution	***7.5%***	***11.0%***	***16.2%***	***22.0%***	***13.0%***	***12.2%***	***16.3%***	***21.4%***				
Substrates	*10.6%*	*13.2%*	*18.1%*	*25.0%*	*15.2%*	*14.3%*	*18.2%*	*23.9%*				
Display Solution	*1.0%*	*6.4%*	*11.2%*	*11.3%*	*8.0%*	*7.3%*	*11.2%*	*11.3%*				
Pre-tax profit	49	836	1,151	1,489	222	1,074	1,191	1,615	*-78.1%*	*-22.2%*	*-3.3%*	*-7.8%*
Net profit	38	657	898	1,161	173	843	929	1,260	*-78.1%*	*-22.0%*	*-3.3%*	*-7.8%*
EPS (W)	**1,605**	**27,771**	**37,946**	**49,064**	**7,326**	**35,619**	**39,249**	**53,237**	***-78.1%***	***-22.0%***	***-3.3%***	***-7.8%***

Source: Goldman Sachs Global Investment Research

Exhibit 4: LGI earnings summary

	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E	2028E
Sales (W bn)	**5,535**	**5,527**	**5,868**	**6,261**	**4,939**	**4,943**	**6,931**	**7,662**	**21,897**	**23,191**	**24,474**	**27,053**
Optics Solution	**4,611**	**4,518**	**4,879**	**5,170**	**3,884**	**3,813**	**5,811**	**6,415**	**18,319**	**19,177**	**19,923**	**21,642**
Mobility Solution	**487**	**511**	**500**	**546**	**550**	**567**	**555**	**596**	**1,858**	**2,044**	**2,269**	**2,467**
Package Solution	**437**	**498**	**489**	**546**	**504**	**563**	**565**	**651**	**1,720**	**1,970**	**2,283**	**2,944**
Substrates	297	339	331	387	340	395	412	501	1,158	1,354	1,648	2,304
Display Solution	140	159	158	158	164	167	153	150	562	616	635	640
Gross profit	**557**	**531**	**423**	**680**	**477**	**551**	**750**	**867**	**21,897**	**23,191**	**24,474**	**27,053**
Operating profit (W bn)	**295**	**246**	**71**	**304**	**231**	**254**	**335**	**408**	**665**	**916**	**1,227**	**1,592**
Optics Solution	**242**	**168**	**29**	**207**	**136**	**141**	**221**	**269**	**482**	**646**	**767**	**838**
Mobility Solution	**15**	**16**	**5**	**16**	**21**	**23**	**22**	**24**	**54**	**53**	**90**	**106**
Package Solution	**38**	**62**	**37**	**81**	**73**	**90**	**91**	**115**	**129**	**217**	**370**	**648**
Substrates	30	46	35	67	54	69	75	101	95	178	299	576
Display Solution	7	16	2	14	19	22	16	14	34	39	71	72
Pre-tax profit	**283**	**222**	**49**	**283**	**211**	**238**	**318**	**385**	**409**	**836**	**1,151**	**1,489**
Net income	**229**	**170**	**38**	**220**	**165**	**185**	**248**	**300**	**341**	**657**	**898**	**1,161**
EPS (W)	**9,683**	**7,170**	**1,605**	**9,313**	**6,954**	**7,831**	**10,466**	**12,695**	**14,421**	**27,771**	**37,946**	**49,064**
Operating margin (%)	**5.3%**	**4.4%**	**1.2%**	**4.9%**	**4.7%**	**5.1%**	**4.8%**	**5.3%**	**3.0%**	**4.0%**	**5.0%**	**5.9%**
Optics Solution	**5.3%**	**3.7%**	**0.6%**	**4.0%**	**3.5%**	**3.7%**	**3.8%**	**4.2%**	**2.6%**	**3.4%**	**3.9%**	**3.9%**
Mobility Solution	**3.1%**	**3.2%**	**1.0%**	**3.0%**	**3.8%**	**4.1%**	**4.1%**	**3.9%**	**2.9%**	**2.6%**	**4.0%**	**4.3%**
Package Solution	**8.6%**	**12.4%**	**7.5%**	**14.9%**	**14.6%**	**16.1%**	**16.1%**	**17.6%**	**7.5%**	**11.0%**	**16.2%**	**22.0%**
Substrates	10.2%	13.5%	10.6%	17.3%	15.9%	17.3%	18.2%	20.2%	8.2%	13.2%	18.1%	25.0%
Display Solution	5.2%	10.1%	1.0%	9.0%	11.7%	13.0%	10.7%	9.0%	6.1%	6.4%	11.2%	11.3%

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 5: LGE earnings revisions

	Revised				Previous				%-change			
(W bn)	**3Q26P**	**FY26E**	**FY27E**	**FY28E**	**3Q26P**	**FY26E**	**FY27E**	**FY28E**	**3Q26P**	**FY26E**	**FY27E**	**FY28E**
Sales	**23,827**	**95,780**	**100,158**	**106,122**	**23,827**	**96,618**	**100,318**	**106,711**	***0.0%***	***-0.9%***	***-0.2%***	***-0.6%***
Home Appliance Solution (HS)	7,091	27,854	28,674	29,513	7,091	27,854	28,674	29,513	*0.0%*	*0.0%*	*0.0%*	*0.0%*
Eco Solution (ES)	2,166	9,486	10,530	11,469	2,166	9,486	10,530	11,469	*0.0%*	*0.0%*	*0.0%*	*0.0%*
Media Entertainment Solution (MS)	4,987	20,932	21,080	21,761	4,987	20,932	21,080	21,761	*0.0%*	*0.0%*	*0.0%*	*0.0%*
Vehicle Component Solution (VS)	2,845	12,571	13,576	14,387	2,845	12,571	13,576	14,387	*0.0%*	*0.0%*	*0.0%*	*0.0%*
LG Innotek	5,868	23,191	24,474	27,053	6,355	24,516	25,146	28,179	*-7.7%*	*-5.4%*	*-2.7%*	*-4.0%*
Others	991	2,212	2,323	2,439	504	1,725	1,812	1,902	*96.6%*	*28.2%*	*28.2%*	*28.2%*
Internal sales	(121)	(465)	(500)	(500)	(121)	(465)	(500)	(500)	*n.m*	*n.m*	*n.m*	*n.m*
Operating profit	**782**	**4,457**	**5,006**	**5,783**	**782**	**4,527**	**5,054**	**5,912**	***0.0%***	***-1.5%***	***-1.0%***	***-2.2%***
Home Appliance Solution (HS)	269	1,626	1,627	1,704	269	1,626	1,627	1,704	*0.0%*	*0.0%*	*0.0%*	*0.0%*
Eco Solution (ES)	87	580	672	754	87	580	672	754	*0.0%*	*0.0%*	*0.0%*	*0.0%*
Media Entertainment Solution (MS)	50	415	477	657	50	415	477	657	*0.0%*	*0.0%*	*0.0%*	*0.0%*
Vehicle Component Solution (VS)	185	799	930	1,001	185	799	930	1,001	*0.0%*	*0.0%*	*0.0%*	*0.0%*
LG Innotek	71	916	1,227	1,592	247	1,163	1,285	1,733	*-71.3%*	*-21.2%*	*-4.5%*	*-8.1%*
Others	113	96	46	49	(63)	(81)	36	38	*n.m*	*n.m*	*28.2%*	*28.2%*
EBITDA	**1,362**	**6,064**	**6,405**	**6,933**	**1,137**	**5,839**	**6,344**	**6,869**	***19.8%***	***3.9%***	***1.0%***	***0.9%***
OP Margin (%)	***3.3%***	***4.7%***	***5.0%***	***5.4%***	***3.3%***	***4.7%***	***5.0%***	***5.5%***				
Home Appliance Solution (HS)	*3.8%*	*5.8%*	*5.7%*	*5.8%*	*3.8%*	*5.8%*	*5.7%*	*5.8%*				
Eco Solution (ES)	*4.0%*	*6.1%*	*6.4%*	*6.6%*	*4.0%*	*6.1%*	*6.4%*	*6.6%*				
Media Entertainment Solution (MS)	*1.0%*	*2.0%*	*2.3%*	*3.0%*	*1.0%*	*2.0%*	*2.3%*	*3.0%*				
Vehicle Component Solution (VS)	*6.5%*	*6.4%*	*6.9%*	*7.0%*	*6.5%*	*6.4%*	*6.9%*	*7.0%*				
LG Innotek	*1.2%*	*4.0%*	*5.0%*	*5.9%*	*3.9%*	*4.7%*	*5.1%*	*6.1%*				
Others	*11.4%*	*4.3%*	*2.0%*	*2.0%*	*-12.5%*	*-4.7%*	*2.0%*	*2.0%*				
EBITDA (%)	***6%***	***6%***	***6%***	***7%***	***5%***	***6%***	***6%***	***6%***				
Pre-tax profit	825	3,998	5,254	6,107	848	4,131	5,395	6,338	*-2.7%*	*-3.2%*	*-2.6%*	*-3.6%*
Net profit	**522**	**2,300**	**3,193**	**3,789**	**540**	**2,404**	**3,291**	**3,951**	***-3.4%***	***-4.3%***	***-3.0%***	***-4.1%***
EPS (W)	2,898	12,762	17,726	21,040	2,999	13,338	18,275	21,938	*-3.4%*	*-4.3%*	*-3.0%*	*-4.1%*

Source: Goldman Sachs Global Investment Research

Exhibit 6: LGE earnings summary

	1Q26	2Q26	3Q26P	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E	2028E
Sales (W bn)	23,727	23,827	23,827	24,399	23,815	23,817	25,687	26,838	89,201	95,780	100,158	106,122
Home Appliance Solution (HS)	6,943	7,076	7,091	6,744	7,170	7,276	7,276	6,952	26,126	27,854	28,674	29,513
Eco Solution (ES)	2,822	2,726	2,166	1,771	3,116	2,943	2,397	2,074	9,323	9,486	10,530	11,469
Media Entertainment Solution (MS)	5,169	5,115	4,987	5,661	5,086	5,025	5,094	5,875	19,426	20,932	21,080	21,761
Vehicle Component Solution (VS)	3,064	3,026	2,845	3,635	3,310	3,268	3,073	3,926	11,136	12,571	13,576	14,387
LG Innotek	5,535	5,527	5,868	6,261	4,939	4,943	6,931	7,662	21,897	23,191	24,474	27,053
Others	304	465	991	452	319	489	1,040	475	1,840	2,212	2,323	2,439
Internal sales	(111)	(108)	(121)	(125)	(125)	(125)	(125)	(125)	(547)	(465)	(500)	(500)
COGS	17,564	17,222	18,280	19,097	17,300	17,338	19,504	20,978	68,359	72,163	75,120	79,115
Gross profit	6,163	6,605	5,547	5,302	6,515	6,479	6,183	5,861	20,842	23,617	25,038	27,007
SG&A	4,489	5,026	4,765	4,880	4,763	4,763	5,137	5,368	18,363	19,160	20,032	21,224
Operating Profit (W bn)	1,674	1,579	782	422	1,752	1,716	1,046	493	2,478	4,457	5,006	5,783
Home Appliance Solution (HS)	570	686	269	101	596	713	284	35	1,279	1,626	1,627	1,704
Eco Solution (ES)	249	236	87	9	306	269	108	(10)	647	580	672	754
Media Entertainment Solution (MS)	372	219	50	(226)	366	241	76	(206)	(751)	415	477	657
Vehicle Component Solution (VS)	212	191	185	211	245	223	215	247	559	799	930	1,001
LG Innotek	295	246	71	304	231	254	335	408	665	916	1,227	1,592
Others	(26)	(5)	113	14	6	10	21	10	58	96	46	49
Pre-tax profit	1,401	1,239	825	533	1,791	1,734	1,150	578	1,836	3,998	5,254	6,107
Net income	816	668	522	294	1,133	1,092	684	283	961	2,300	3,193	3,789
EPS (W)	4,518	3,709	2,898	1,634	6,274	6,065	3,798	1,574	5,323	12,762	17,726	21,040
OP Margin (%)	7.1%	6.6%	3.3%	1.7%	7.4%	7.2%	4.1%	1.8%	2.8%	4.7%	5.0%	5.4%
Home Appliance Solution (HS)	8.2%	9.7%	3.8%	1.5%	8.3%	9.8%	3.9%	0.5%	4.9%	5.8%	5.7%	5.8%
Eco Solution (ES)	8.8%	8.6%	4.0%	0.5%	9.8%	9.1%	4.5%	-0.5%	6.9%	6.1%	6.4%	6.6%
Media Entertainment Solution (MS)	7.2%	4.3%	1.0%	-4.0%	7.2%	4.8%	1.5%	-3.5%	-3.9%	2.0%	2.3%	3.0%
Vehicle Component Solution (VS)	6.9%	6.3%	6.5%	5.8%	7.4%	6.8%	7.0%	6.3%	5.0%	6.4%	6.9%	7.0%
LG Innotek	5.3%	4.4%	1.2%	4.9%	4.7%	5.1%	4.8%	5.3%	3.0%	4.0%	5.0%	5.9%
Others	-8.5%	-1.1%	11.4%	3.0%	2.0%	2.0%	2.0%	2.0%	3.2%	4.3%	2.0%	2.0%

Source: Company data, Goldman Sachs Global Investment Research

Price Target Risks and Methodology - LG Innotek Co.

Valuation: We are Neutral-rated on LG Innotek with a 12-month TP of W750,000; our TP is based on a 2027E-2028E EV/EBITDA-based SOTP.

Key risks: higher-/lower-than-expected iPhone shipments, higher-/lower-than-expected camera module market share of LGI in Apple, and higher-/lower-than-expected camera module ASP.

Investment Thesis - LG Innotek

LG Innotek (LGI) manufactures various electronic components and is the top supplier of camera modules for Apple iPhones. Looking into 2026, we expect camera module margin improvement led by reported new feature in iPhone 18 Pro series to lead to improvement in company overall margin; however, see potential smartphone demand downside caused by higher memory costs and stronger KRW over USD as risk factors, hence are Neutral rated on the name. Key risks include higher-/lower-than-expected iPhone shipments, higher-/lower-than-expected camera module market share of LGI in Apple, and higher-/lower-than-expected camera module ASP.

Price Target Risks and Methodology - LG Electronics

Valuation: We are Neutral rated on LG Electronics with a 2026E-2027E EV/EBITDA SOTP-based, 12-month TP of W165,000.

Key risks: Higher/lower OLED TV demand, higher/lower HS margins, and faster/slower vehicle component revenue growth.

Disclosure Appendix

Reg AC

We, Giuni Lee and Daiki Takayama, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

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Contributing Authors: Giuni Lee Goldman Sachs (Singapore) Pte, Daiki Takayama Goldman Sachs Japan Co., Ltd..

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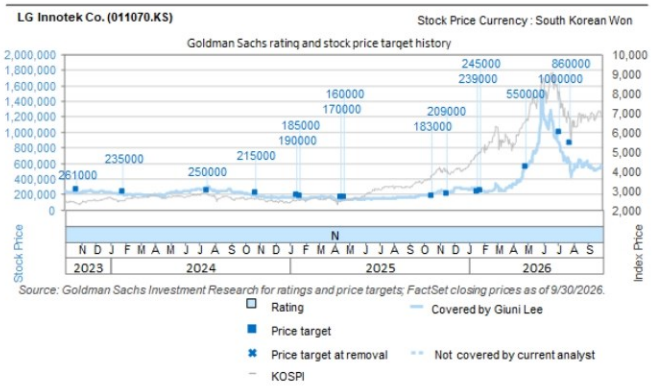
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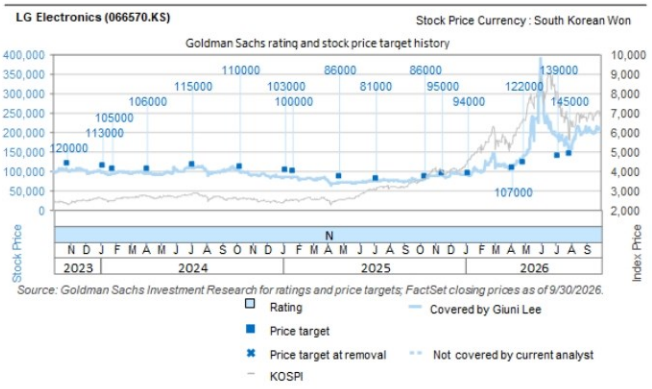
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Target price history table(s)

LG Innotek Co. (011070.KS)

Date of report	Target price (W)	Closing price (W)
27-Jul-26	860,000	614,000
05-Jul-26	1,000,000	872,000
27-Apr-26	550,000	536,000
26-Jan-26	245,000	276,000
19-Jan-26	239,000	285,500
17-Nov-25	209,000	245,000
19-Oct-25	183,000	209,500
23-Apr-25	160,000	145,500
16-Apr-25	170,000	137,200
22-Jan-25	185,000	161,200
15-Jan-25	190,000	162,200
23-Oct-24	215,000	199,700
17-Jul-24	250,000	297,000
28-Jan-24	235,000	200,000
25-Oct-23	261,000	227,500

LG Electronics (066570.KS)

Date of report	Target price (W)	Closing price (W)
07-Oct-26	165,000	208,000
30-Jul-26	145,000	148,000
07-Jul-26	139,000	189,100
29-Apr-26	122,000	135,800
07-Apr-26	107,000	107,100
09-Jan-26	94,000	89,100
17-Nov-25	95,000	91,400
13-Oct-25	86,000	81,000
07-Jul-25	81,000	74,100
25-Apr-25	86,000	71,600
23-Jan-25	100,000	84,500
08-Jan-25	103,000	86,800
08-Oct-24	110,000	98,000
05-Jul-24	115,000	110,800
05-Apr-24	106,000	95,900
28-Jan-24	105,000	93,500
08-Jan-24	113,000	99,100
29-Oct-23	120,000	101,600

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